FINM3013 Introduction to Financial Derivatives

Chapter 05

Solution to Class exercises

1. B. The investor gains $7 per share because he or she sells at $50 and buys at $43. However, the investor has to pay the $3 per share dividend. The net profit is therefore 7−3 or $4 per share. 100 shares are involved. The total gain is therefore $400.

2. A. The 3-year forward price is the spot price grossed up for 3 years at the risk-free rate. It is $30e^{0.1\times 3}$ =$40.50.

3. D. The six-month forward rate is $0.7000e^{-(0.05-0.07)\times 0.5}$=0.6930.

4. C. Investment assets are sometimes held for consumption. Silver is an example. To be an investment asset, an asset has to be held for investment by at least some traders.

5. C. A, B, and D are investment assets (held by at least some investors purely for investment purposes). C is a consumption asset.